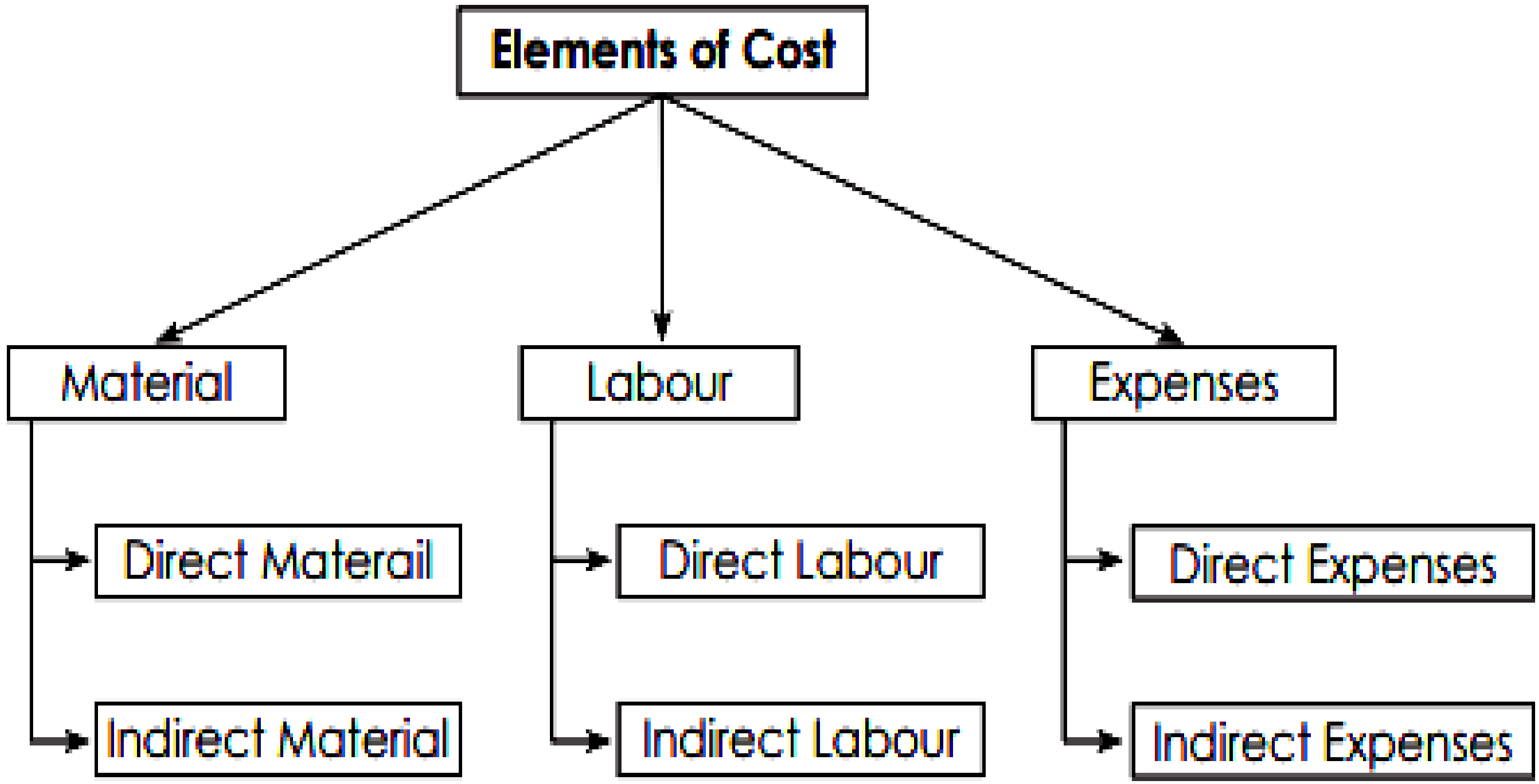
ELEMENTS OF COST

Cost:

- Cost is a measurement, in monetary terms, of the amount of resources used for the purpose of production of goods or rendering services.
- Cost in simple, words, means the total of all expenses.
- Cost is a generic term and it is always advisable to qualify the word cost to show exactly what it meant, e.g., prime cost, factory cost, etc.
- Cost is also different from value as cost is measured in terms of money whereas value in terms of usefulness or utility of an article.


Elements of Cost
Material
Labour
Expenses
Direct Materail
Indirect Material
Direct Labour
Indirect Labour
Direct Expenses
Indirect Expenses

- Direct Material + Direct Labour + Direct Expenses = Prime Cost
- Indirect Material+ Indirect Labour + Indirect Expenses = Overheads
- Direct Material Cost :The Cost of material which can be attributed to a cost object in an economically feasible way.
- Direct materials are those materials which can be identified in the product and can be conveniently measured and directly charged to the product.
- Thus, these materials directly enter the product and form a part of the finished product.
- For example, timber in furniture making, cloth in dress making, bricks in building a house.

- The following are normally classified as direct materials :-
- All raw materials, like jute in the manufacture of gunny bags, pig iron in foundry and fruits in canning industry.
- Materials specifically purchased for a specific job, process or order, like glue for book binding, starch powder for dressing yarn.
- Parts or components purchased or produced, like batteries for transistor-radios.
- Primary packing materials like cartons, wrappings, card-board boxes, etc.

Indirect Material Cost : Materials, the costs of which cannot be directly attributed to a particular cost object.

Indirect materials are those materials which do not normally form a part of the finished product.

- materials which cannot be allocated but which can apportioned to or absorbed by cost centres or cost units. These are:
- Stores used in maintenance of machinery etc., like lubricants, cotton waste,.
- Stores used by the service departments, i.e., non-productive departments like Power House, Boiler House and Canteen, etc., and

(iii) Materials which due to their cost being small, are not considered worthwhile to be treated as direct materials.

Direct Labour / Employee Cost The cost of employees which can be attributed to a cost object in an economically feasible way.

- In simple words, it is that labour which can be conveniently identified or attributed wholly to a particular job, product or process or expended in converting raw materials into finished goods.
- Wages of such labour are known as direct wages.
- includes payment made to the following groups of labour:
- Labour engaged on the actual production of the product or in carrying out of an operation or process.
- Labour engaged in adding the manufacture by way of supervision, maintenance, tool setting, transportation of material etc.
- Inspectors, analysts etc., specially required for such production

Indirect Labour/ Employee Cost The labour / employee cost which cannot be directly attributed to a particular cost object.

- The wages of that labour which cannot be allocated but which can be apportioned to or absorbed by cost centres or cost units is known as Indirect Labour.
- In other words paid to labour which are employed other than on production constitute indirect labour costs.
- Example of such labour are: supervisors; maintenance workers; men employed in service departments, material handling and internal transport; apprentices, trainees and instructors; clerical staff and labour employed in time office and security office.

Direct or Chargeable Expenses : expenses relating to manufacture of a product or rendering a service which can be identified or linked with the cost object other than direct material cost and direct employee cost.

- **Specifically incurred for a particular product or process. Such expenses are charged directly to the particular cost account concerned as part of the prime cost.**
- **Examples of direct expenses are:**
- **Excise duty;**
- **Royalty;**
- **Architect or Supervisor's fees;**

- Cost of rectifying defective work;
- Travelling expenses to the city;
- Experimental expenses of pilot projects;
- Expenses of designing or drawings of patterns or models;
- Repairs and maintenance of plant obtained on hire;
- Hire of special equipment obtained for a contract.

Indirect Expenses or Overhead :

- **Overheads may defined as the aggregate of the cost of indirect material, indirect labour and such other expenses including services as cannot conveniently be charged/identified directly to specific cost units.**
- **Thus overheads are all expenses other than direct expenses.**

Indirect Expenses are further classified as :

- Factory Expenses : expenses made on actual operation of a product in the plant such as indirect material and indirect labour.

Also known as ' Works on cost'.

- Administrative Expenses : salaries of general office staff and executive staff, telegraph and telephone charges, depreciation of office and building and equipment etc.

Also known as "establishment on cost" or "office expenses"

- Selling Expenses : salaries of persons working in sales department, advertisement expenses and agency expenses etc.
- Distribution Expenses : holding finished stock, dispatching them to the customer and packaging cost etc.

Fixed and Variable Overheads

Fixed Overheads : remains constant whatever may be the volume of production.

- **Salaries of Staff : salaries and allowances paid to supervisors, officers and engineers etc. Also known as Supervisory charges and calculated in terms of expenses per machine hour.**
- **Depreciation of machines and equipment : the decrease in value of machine due to age and wear and tear.**
- **Interest on capital invested : calculated assuming , if this capital is deposited in bank.**
- **Rent of building and insurance**

Variable overheads : those indirect expenses which vary with volume of production

- Power or fuel consumed : if power is generated in the factory includes expenditure on coal or fuel, salary of powerhouse staff, expenditure on running and maintenance and depreciation of powerhouse building, plant etc.

If power is bought from agency , includes charges paid to them.

- Consumable store supply : salary of store staff, stationery etc. required in stores, lighting charges for stores and other similar expenses
-

- **Repair and Maintenance Expenses : on machinery . Converted into expenditure machine hour and charged into various department of the factory.**
- **Expenses on tools : generally tools are having very short life and required to be purchased frequently. Hence they are charged in two ways. Firstly the expenditure incurred on purchase of such tools is directly charged. Secondly these are depreciated.**

- Variable overheads increase proportionately with the rate of production, but fixed overheads remain almost constant.
- So by increasing the amount of production, the total cost of production can be decreased.
- It is also essential there should be minimum production which can cover the fixed overheads.